

BEFORE THE STATE BOARD OF ADDICTION COUNSELOR EXAMINERS AND THE STATE
BOARD OF LICENSED PROFESSIONAL COUNSELOR EXAMINERS

STATE OF COLORADO

Case Nos. 2024-8817 & 2024-8818

STIPULATION AND FINAL AGENCY ORDER

IN THE MATTER OF DISCIPLINARY PROCEEDINGS REGARDING THE LICENSE TO PRACTICE
ADDICTION COUNSELING IN THE STATE OF COLORADO AND THE LICENSE TO PRACTICE
PROFESSIONAL COUNSELING IN THE STATE OF COLORADO OF DONALD MALOY, LICENSE
NOS. ACD 1695, LPC 14353,

Respondent.

IT IS HEREBY STIPULATED by and between the State Board of Addiction
Counselor Examiners and the State Board of Licensed Professional Counselor
Examiners (together, "Boards") and Donald Maloy ("Respondent"), as follows:

1. The Boards have jurisdiction over the person of Respondent and the
subject matter of this Stipulation and Final Agency Order ("Order").
2. Respondent was licensed to practice as an addiction counselor ("LAC")
and licensed to practice as a professional counselor ("LPC") in the State of Colorado
at all times relevant herein.
3. This Order is a full and final resolution of case numbers 2024-8817 and
2024-8818. This Order does not resolve any other cases, complaints, or matters,
known or unknown to the Boards or Respondent, as of the effective date of this
Order.
4. Respondent admits the following:
 - a. On or around 2023, Respondent crossed boundaries with a client
by going into business with the client.
 - b. Respondent falsified or repeatedly made incorrect essential
entries in the client records.
5. By virtue of the admissions in paragraph 4 above, Respondent admits and
the Boards find that Respondent violated section 12-245-224(1)(g)(I) and (u), C.R.S.,
which states:

12-245-224. Prohibited activities--related provisions. (1) A person licensed, registered, or certified under this article 245 violates this article 245 if he or she:

(g)(l) Has acted or failed to act in a manner that does not meet the generally accepted standards of the professional discipline under which the person practices. Generally accepted standards may include, at the board's discretion, the standards of practice generally recognized by state and national associations of practitioners in the field of the person's professional discipline.

(u) Has falsified or repeatedly made incorrect essential entries or repeatedly failed to make essential entries on patient records.

6. By virtue of the admissions in paragraphs 4 and 5 above, Respondent is subject to the following disciplinary sanction(s) that the Boards believe are necessary to protect the public health, safety, and welfare.

PROBATION

7. Respondent's license to practice as a LAC and license to practice as a LPC in the State of Colorado are hereby placed on probation for one (1) year, commencing from the effective date of this Order or the date Respondent's practice monitor is approved, whichever date is later. During the probationary period, Respondent shall be bound by the terms and restrictions set forth in this Order.

8. The period of probation is tolled during any time that Respondent is not practicing in this state, and the period of probation shall resume at such time as Respondent resumes practicing in the State of Colorado in accordance with this Order.

9. Credit toward the period of probation will be given only for the period of time during which Respondent is practicing as a LAC and LPC in Colorado, is being monitored by a practice monitor, and is in full compliance with all terms of this Order.

10. If, after six (6) months of probation, Respondent has adhered to all terms and conditions of this Order, and in the event that Respondent's practice monitor agrees, Respondent may request termination of probation and the practice monitor requirement. Request for termination of probation and the practice monitor must be made in writing to the Boards, and Respondent is responsible for establishing, to the satisfaction of the Boards, that he has satisfied the terms and conditions of practice monitoring. It is at the Boards' discretion whether or not to approve Respondent's request to terminate probation and the practice monitor requirement

PRACTICE MONITOR

11. During the term of probation, Respondent's practice shall be monitored

by a practice monitor. Within 30 days of the effective date of this Order, Respondent shall submit, in writing, three (3) proposed practice monitors for the Boards' approval. Respondent shall include a program-approved practice monitor application from each potential monitor, with attached curriculum vita or resume. The practice monitor shall meet the following criteria:

a. The practice monitor shall be a licensed, certified, or listed, currently practicing mental health provider in the State of Colorado;

b. It is recommended that the practice monitor have a minimum of five (5) years of experience and has not been subject to professional discipline; and

c. The practice monitor shall have no current or past financial or personal interest in Respondent or Respondent's practice. Former employees and business associates fall under this provision.

12. Respondent must have a practice monitor approved by the Boards within two (2) months of the effective date of this Order. If this requirement is not satisfied, Respondent must cease practice and agrees to suspension of his practice until a practice monitor is approved unless an extension is granted by the Boards.

13. After the Boards' written approval of the practice monitor, Respondent and the practice monitor shall enter into a written contract for monitoring within 30 days. If this requirement is not satisfied, Respondent must cease practice and agrees to suspension of his practice until the written contract for practice monitoring is executed unless an extension is granted by the Boards. The practice monitor shall provide a copy of the written contract to the Boards as a part of his/her first report to the Boards. The contract must contain a provision stating that the practice monitor has received a copy of this Order, the complaint and responsive documents, any investigative report, and the practice evaluation; has read these documents; and understands the duties and responsibilities s/he is undertaking as Respondent's practice monitor. The practice monitor shall ensure that a written notification is provided to each of Respondent's clients, informing the clients of the name, address, and telephone number of the practice monitor. This written notification may be provided in a mandatory disclosure statement.

14. The practice monitor shall conduct a practice evaluation during the first month of practice monitoring. The practice evaluation shall examine all aspects of Respondent's practice or proposed practice and his qualifications and ability to practice in accordance with generally accepted standards of practice and with skill and safety for clients and determine whether he has the necessary qualifications, current ability, and competence to practice. The first practice monitoring report shall include the findings of the practice evaluation.

15. Should the Boards determine from the practice monitor's evaluation that Respondent cannot practice any part of his practice with skill and safety for clients in

accordance with generally accepted standards of practice or does not have the appropriate qualifications, ability, or competence for practice, Respondent shall immediately cease any part of the practice that the Boards determine, based on the evaluation, he is not qualified, competent, or safe to conduct. Based on the Boards' findings and the evaluation, the Boards will determine necessary actions that Respondent must take and conditions Respondent must meet so that Respondent can practice with skill and safety for clients in accordance with generally accepted standards of practice in any areas the Boards find Respondent is not qualified, competent, and safe to practice. Once Respondent satisfies the Boards that he is qualified, competent, and safe to fully practice, Respondent may resume full practice.

16. The practice monitoring shall consist of individual, in-person (face-to-face) sessions that occur for one (1) hour, or such longer time as the practice monitor deems necessary, for every twenty (20) hours of client contact, but at least once each month. Respondent and his practice monitor must review and discuss each of Respondent's active cases at least once every month in order to allow the practice monitor to be able to determine whether Respondent is practicing as a LAC and a LPC in accordance with generally accepted standards of practice and with skill and safety for his clients.

17. The practice monitor shall submit a written report to the Boards on the fifth day of the month following the first full month of practice monitoring. All subsequent reports shall be submitted on the fifth day of each month for the first twelve (12) reports. After the submission of the first twelve (12) reports, unless otherwise ordered by the Boards, the practice monitor shall submit his/her reports by the fifth day of every third month (i.e. on a quarterly basis) until the practice monitoring is completed.

18. If at any time the Boards have questions or concerns regarding the monitoring, the practice monitor agrees to attend any Board meeting necessary to address the Boards' concerns. The Boards will give the practice monitor 30 days notice prior to requiring the practice monitor's attendance at a Board meeting.

19. If at any time the practice monitor believes Respondent is not in compliance with this Order, is unable to practice with skill and safety to his clients, or has committed a violation of the practice act or rules and regulations, the practice monitor shall immediately notify the Boards, in writing, and include the basis for this conclusion. A copy will be sent to Respondent. Upon submission of such a report, Respondent shall immediately cease the practice of addiction and professional counseling.

20. Respondent shall make every effort to ensure that all reports by the practice monitor are complete and timely submitted to the Boards. If, in the Boards' judgment, the practice monitor fails to perform the function specified by this Order, the Boards may require that a new practice monitor assume the responsibilities herein. If for any reason the practice monitor ceases to perform the functions specified in this Order, Respondent shall submit, in writing, a new proposed practice monitor to the Boards within 30 days.

21. Respondent or the practice monitor may terminate the monitoring relationship upon written notice to the other and to the Boards not less than 60 days before the date of termination. The notice shall state the reason for the termination. Respondent shall immediately initiate efforts to obtain another Board-approved practice monitor, who shall conduct his/her monitoring and report to the Boards in accordance with this Order.

CONTINUING EDUCATION

22. Within twelve (12) months of the effective date of this Order, Respondent shall successfully complete the PROBE-Ethics and Boundaries Program (www.cpepd.org). To successfully complete the program, Respondent must receive a passing evaluation or grade, without any condition or qualification. Upon completion of the program, Respondent shall ensure that a certificate/letter of completion is provided to the Boards. If Respondent fails to register for and successfully pass the PROBE program in Colorado within twelve (12) months of the effective date of this Order, Respondent must cease practice and agrees to suspension of his practice until he successfully passes the PROBE program.

23. These program hours completed pursuant to this section shall be required in addition to, and may not be counted toward, the mandatory Continuing Professional Development requirements for an active Colorado license or to meet any other licensure requirements.

TERMS AND CONDITIONS

24. Respondent will strictly observe the prohibitions set forth in section 12-245-224, C.R.S., and will ensure that he does not engage in any activities that are prohibited and that he practices in accordance with the generally accepted standards of practice.

25. Respondent shall not supervise or consult with other mental health providers for the purpose of those persons providing mental health services, unless such supervision or consultation is monitored in accordance with this Order.

26. All expenses incurred or associated with the practice evaluation, practice monitoring, or any other requirement necessary to fulfill the terms of this Order, shall be the sole responsibility of Respondent and not the Boards.

27. In the event Respondent relocates at any time during the probationary period, Respondent shall notify the Boards of the change of address within 30 days of the effective date of such change.

28. Respondent is fully aware of and understands the right to receive a formal notice of hearing and charges and to have a formal disciplinary hearing, pursuant to sections 12-20-403 and 12-245-226, C.R.S., and hereby waives those rights. Further, Respondent also acknowledges that this waiver constitutes a waiver of

all rights to appeal in this matter.

29. This Order is entered into by Respondent voluntarily and without coercion, after an opportunity to consult with counsel and with full understanding of the legal consequences of this Order and the right to formal hearing on all matters herein.

30. This Order shall become an order of the Boards when it is accepted and signed by the Program Director or authorized Board representatives.

31. The Order entered pursuant to this Stipulation and Final Agency Order shall constitute a Board order for purposes of section 12-245-224, C.R.S., and shall have the same force and effect as an order entered after a formal disciplinary hearing pursuant to sections 12-20-403 and 12-245-226, C.R.S.

32. Respondent acknowledges and agrees that any violation of this Order shall constitute a violation of a lawful Board Order and be grounds for further proceedings pursuant to the Mental Health Practice Act and, if proven, may constitute a basis for further disciplinary action. The pendency of any disciplinary action shall not affect the obligation of Respondent to comply with the terms of this Order, and this Order shall remain operative and in full force and effect.

33. This Order constitutes the entire agreement between Respondent and the Boards. There are no other promises expressed or implied. In the event that any provision of this Order is deemed unenforceable by a court of competent jurisdiction, such provision shall be severed, and the remainder of this Order shall be given full force and effect.

34. This Order shall become effective upon (a) mailing by first-class mail to Respondent at Respondent's address of record with the Boards, or (b) service by electronic means on Respondent at Respondent's electronic address of record with the Boards. Respondent hereby consents to service by electronic means if Respondent has an electronic address on file with the Boards.

35. This Order shall be admissible as evidence at any hearing held before the Boards.

36. This Order shall be a public record in the custody of the Boards.

AGREED TO AND ACCEPTED BY:

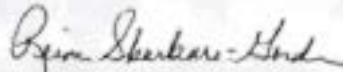
RESPONDENT



DONALD MALOY
LICENSE Nos. ACD 1695, LPC 14353

AGREED TO AND ORDERED BY:

THE STATE BOARD OF ADDICTION
COUNSELOR EXAMINERS AND THE STATE
BOARD OF LICENSED PROFESSIONAL
COUNSELOR EXAMINERS



REINA SBARBARO-GORDON
Program Director

Effective this 31st day of October,
2025.